

Review for Tue.

----- Forwarded by Vince J Kaminski/HOU/ECT on 12/07/2000
03:57 PM -----

Tanya Tamarchenko

12/07/2000 03:54 PM

To: Wenyao Jia/HOU/ECT@ECT

cc: Rabi De/NA/Enron@ENRON, Jaesoo Lew/NA/Enron@ENRON, Naveen
Andrews/Corp/Enron@ENRON, Vince J Kaminski/HOU/ECT@ECT, Vladimir
Gorny/HOU/ECT@ECT

Subject: Re: implementation of smothing algorithm for forward forward
volatilities calculation

Winston,

I am sending you the documentation on the new methodology for creating ffvols
from implied vols. This methodology requires some minimization procedure
to fit the given vol curve with a smoothing function. I am sending you the
code I wrote that performs minimization with simulated annealing method from
Numerical Recipes.

We might need to discuss some details. Please, let me know if you have
questions.

Tanya.